

U.S. IT Hardware

International Business Machines Corp

Rating

Market-Perform

Price Target



280.00 USD



Mark C. Newman
+1 212 845 7822
mark.newman@bernsteinsg.com



April Li
+1 917 344 8339
april.li@bernsteinsg.com



Phoebe Sun
+1 917 344 8481
phoebe.sun@bernsteinsg.com

IBM: What do CIOs say about Mainframes?

Yesterday before market open IBM pre-announced its FQ2'26 revenue and EPS below guidance, consensus and our expectations. We analyze selected results from our [recent CIO survey](#) published last night and what this means for IBM.

FQ2'26 preliminary revenue came in at \$17.2billion, significantly below us and consensus at \$17.96bn and \$17.86bn respectively. The main drivers for the miss were unexpected weakness in mainframe (infrastructure revenue down 7% YoY) and transaction processing (dragging software growth to only +5% YoY). **Preliminary EPS also came in light at \$2.93 vs. us and consensus at \$3.09 and \$3.03** respectively.

Mainframes and the associated software stack including Transaction Processing were the drivers of the miss. In the letter to investors, IBM blamed changing buying patterns from clients toward servers, storage, and memory to secure supply-constrained infrastructure ahead of expected price increases. Our recent CIO survey shows **33% of CIOs planning to decrease MIPS capacity**, a significant increase from 23% in Nov 25.

While IBM's preliminary software growth of ~5% YoY is disappointing **we view the software miss as largely concentrated in Transaction Processing rather than indicative of a meaningful slowdown across IBM's broader software portfolio.**

According to our May 2026 CIO survey, the CIO spending intention at IBM weakened, with a survey-worst net 54% of CIOs planning to spend less with the company, deteriorating further from 49% in Nov 2025. This suggests further headwinds for IBM.

Investment Implications

We rate IBM Market-Perform, TP unchanged at \$280 (20x FY27 EPS of \$13.93)

Adjusted EPS	F25A	F26E	F27E
IBM (USD)	11.58	12.35	13.93

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	67,527	71,975	75,604	--
Operating Margin (%)	--	--	--	--
Cost of Goods Sold (M)	(27,343)	(28,771)	(29,280)	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	18.8	17.6	15.6
REL P/E Adjusted (x)	NA	NA	NA
PEG Reported (x)	1.5	2.6	1.2
Reported P/E (x)	18.8	17.6	15.6
REL P/E Reported (x)	NA	NA	NA
EV/FCF (x)	17.1	16.7	12.9
EV/EBITDA (x)	13.3	12.8	11.8
EV/EBIT (x)	17.9	16.5	14.7

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

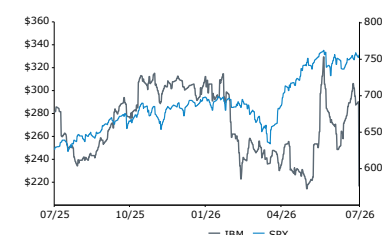
First Published: 15 Jul 2026 11:11 UTC Completion Date: 15 Jul 2026 11:11 UTC

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Close Date	14 Jul 2026			
IBM Close Price (USD)	217.07			
Price Target (USD)	280.00			
Upside/(Downside)	29%			
52-Week Range	332.46/212.34			
SPX	7,543.59			
FYE	Dec			
Div Yield	3.1%			
Market Cap (USD) (M)	204,021			
EV (USD) (M)	262,121			
Performance	YTD	1M	6M	12M
Absolute (%)	(26.7)	(19.2)	(27.1)	(23.2)
SPX (%)	10.2	1.5	8.9	20.3
Relative (%)	(36.9)	(20.7)	(36.1)	(43.6)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



DETAILS

Yesterday before market open IBM pre-announced its FQ2'26 revenue and EPS below guidance, consensus and our expectations. We analyze selected results from our [recent CIO survey](#) published last night and what this means for IBM.

FQ2'26 preliminary revenue came in at \$17.2billion, significantly below us and consensus at \$17.96bn and \$17.86bn respectively. The main drivers for the miss were unexpected weakness in mainframe (infrastructure revenue down 7% YoY) and transaction processing (dragging software growth to only +5% YoY), which are both directly related. **Preliminary EPS also came in light at \$2.93 vs. us and consensus at \$3.09 and \$3.03** respectively.

Mainframes and the associated software stack including Transaction Processing were the drivers of the miss. In the letter to investors, IBM blamed changing buying patterns from clients toward servers, storage, and memory to secure supply-constrained infrastructure ahead of expected price increases. Our recent CIO survey shows **33% of CIOs planning to decrease MIPS capacity** over the next five years, a significant increase from 23% in Nov 25.

For consulting, the preliminary revenue came in at roughly \$5.3bn, flat YoY. Based on the May 26 CIO survey, there could be further headwinds in consulting, since a net -15% of CIOs expect the use of third party IT consultants to increase in the remainder of the year, so it appears that CIOs are pivoting away from consultants.

While IBM's preliminary software growth of ~5% appears disappointing versus expectations, management made it clear that the shortfall was driven primarily by Transaction Processing associated with weaker-than-expected Z17 performance rather than broad-based software deterioration. In contrast, Red Hat is still expected to deliver approximately 11% growth, which remains healthy. **As a result, we view the software miss as largely concentrated in the more cyclical Transaction Processing business rather than indicative of a meaningful slowdown across IBM's broader software portfolio.**

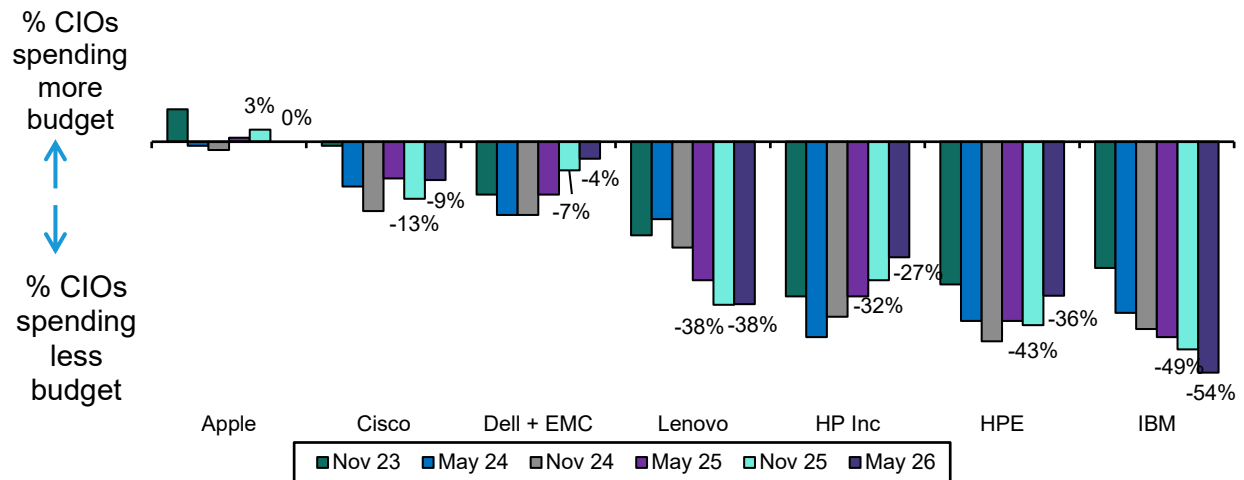
According to our May 2026 CIO survey, the CIO spending intention at IBM weakened, with a survey-worst net 54% of CIOs planning to spend less with the company, deteriorating further from 49% in Nov 2025. This suggests further headwind for IBM as investors move away from traditional IT spending such as mainframe as well as consulting, and towards Gen AI products as well as cybersecurity.

EXHIBIT 1: IBM prelim Q2 FY26 vs Bernstein vs Consensus vs Q2 FY25

	FY25 Q2	FY26 Q2 (Prelim)	YoY%	Bernstein	Delta	Consensus	Delta
Total Revenue	\$16,970	\$17,200	1%	\$17,961	-4%	\$17,858	-4%
Software Revenue	\$7,386	\$7,785	5%	\$8,142	-4%	\$8,152	-5%
Consulting Revenue	\$5,322	\$5,338	0%	\$5,508	-3%	\$5,433	-2%
Infrastructure Revenue	\$4,128	\$3,843	-7%	\$4,118	-7%	\$4,021	-4%
Non-GAAP GPM	60.1%	59.4%	-72bps	60.0%	-61bps	60.1%	-71bps
Non-GAAP PTI margin	18.8%	19.2%	37bps	19.3%	-9bps	19.1%	12bps
Non-GAAP EPS	\$2.80	\$2.93	5%	\$3.09	-5%	\$3.03	-3%

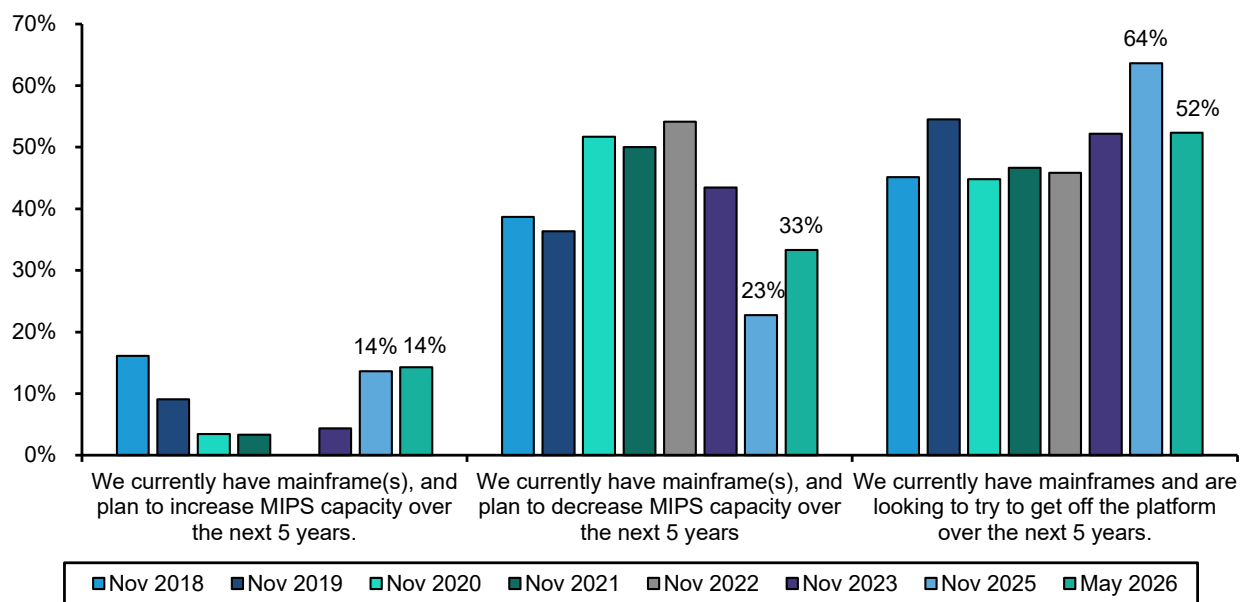
Source: Bernstein estimates and analysis, Bloomberg, Company reports

EXHIBIT 2: **Net % of CIOs Planning to Spend More/Less with Each Hardware Vendor (Over the Next 5 Years)**



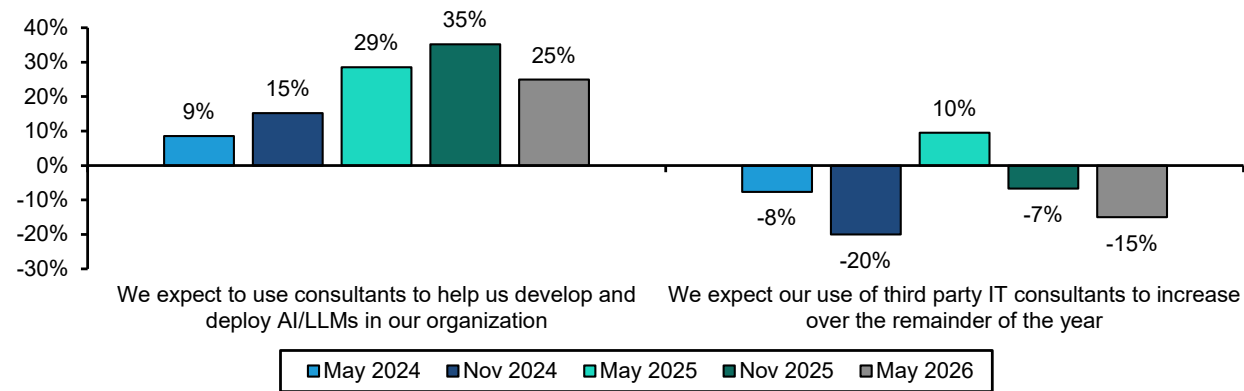
Source: Bernstein CIO Surveys

EXHIBIT 3: **CIO Perceptions of Mainframes (% Agreeing)**



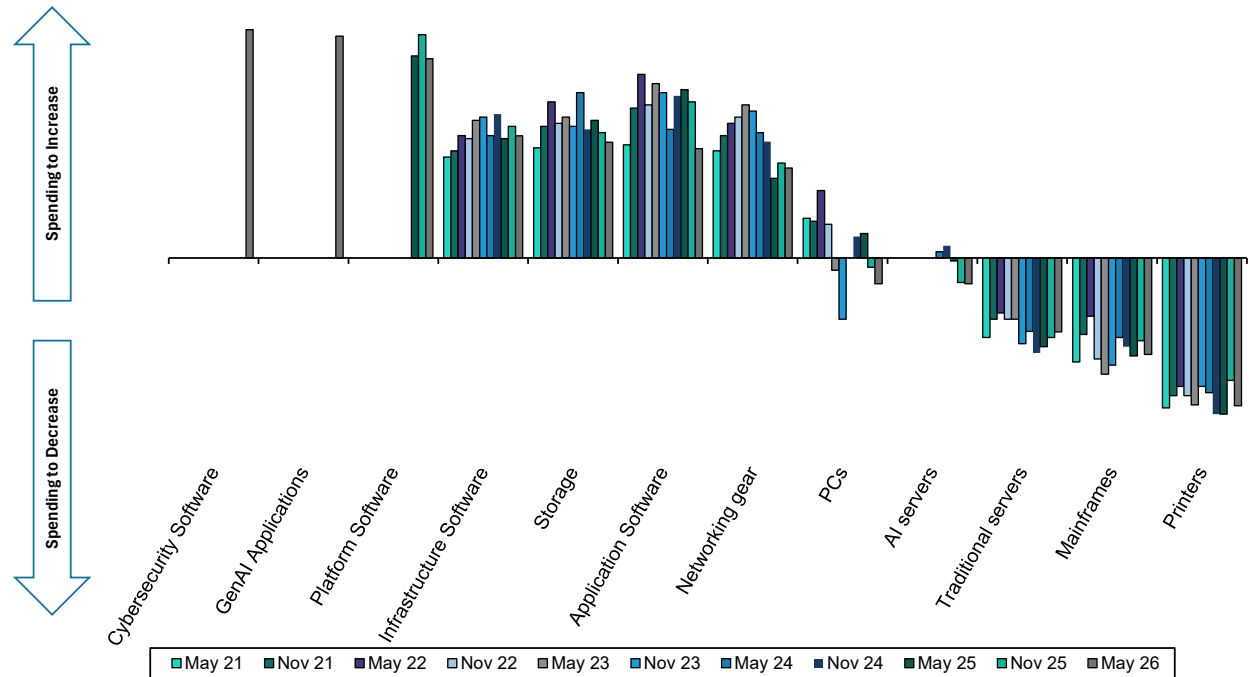
Source: Bernstein CIO Surveys

EXHIBIT 4: CIO Perspectives on 3rd Party IT Consulting/SI Firms Over Time (% agreeing minus % disagreeing)



Source: Bernstein CIO Surveys

EXHIBIT 5: Weighted % of CIOs Planning Increase/Decrease in IT spending by Category



Source: Bernstein CIO Surveys

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 6: IBM Income Statement

Unit: \$, Millions										
IBM Income Statement	FY2024	FY2025	FY2026	FY2027	FY2028	FY25 Q4	FY26 Q1	FY26 Q2E	FY26 Q3E	FY26 Q4E
Pro Forma Non-GAAP Income Statement										
Revenue	62,754	67,527	71,975	75,604	80,769	19,686	15,917	17,961	17,240	20,858
COGS	26,479	27,343	28,771	29,280	30,524	7,527	6,730	7,182	6,929	7,930
Gross Profit	36,275	40,184	43,204	46,324	50,245	12,159	9,187	10,778	10,311	12,928
Margin %	57.8%	59.5%	60.0%	61.3%	62.2%	61.8%	57.7%	60.0%	59.8%	62.0%
SG&A	18,529	18,706	18,919	19,805	21,158	5,100	4,682	4,746	4,746	4,746
RD&E	7,479	8,312	8,683	9,056	9,675	2,187	2,173	2,170	2,170	2,170
I/P & Custom Development Income	(996)	(964)	(928)	(1,052)	(1,124)	(277)	(172)	(252)	(252)	(252)
Other (Income) / Expense	(1,656)	(517)	672	670	853	(74)	(98)	142	(391)	1,019
Interest Expense	1,712	1,935	2,000	2,123	2,268	478	473	509	509	509
Pre-tax Income	11,207	12,712	13,859	15,722	17,415	4,745	2,129	3,464	3,529	4,737
Margin %	17.9%	18.8%	19.3%	20.8%	21.6%	24.1%	13.4%	19.3%	20.5%	22.7%
Tax	1,523	1,719	2,067	2,358	2,612	438	308	520	529	711
Net Income from Continuing Ops	9,684	10,993	11,791	13,364	14,803	4,307	1,821	2,944	3,000	4,026
Margin %	15.4%	16.3%	16.4%	17.7%	18.3%	21.9%	11.4%	16.4%	17.4%	19.3%
Diluted EPS	\$ 10.32	\$ 11.58	\$ 12.35	\$ 13.93	\$ 15.35	\$ 4.52	\$ 1.91	\$ 3.09	\$ 3.14	\$ 4.21
Dividend per share	\$ 6.67	\$ 6.71	\$ 6.75	\$ 6.79	\$ 6.83	\$ 1.68	\$ 1.68	\$ 1.69	\$ 1.69	\$ 1.69
Average Share (Diluted)	938.2	949.6	954.4	959.5	964.6	952.4	952.1	953.4	954.7	956.0
Growth %										
Revenue	1.4%	7.6%	6.6%	5.0%	6.8%	12.1%	9.5%	5.8%	5.6%	6.0%
Gross Profit	3.8%	10.8%	7.5%	7.2%	8.5%	14.4%	11.6%	5.6%	7.5%	6.3%
SG&A	3.2%	1.0%	1.1%	4.7%	6.8%	11.8%	3.3%	1.4%	8.0%	(7.0%)
R&D	10.4%	11.1%	4.5%	4.3%	6.8%	11.2%	11.7%	3.5%	4.2%	(0.8%)
Opex	1.8%	9.6%	6.8%	4.3%	7.3%	16.6%	8.7%	4.4%	3.4%	10.5%
Pre-tax Income	8.7%	13.4%	9.0%	13.4%	10.8%	11.1%	22.5%	8.4%	16.4%	(0.2%)
Net Income	9.2%	13.5%	7.3%	13.3%	10.8%	16.7%	20.0%	11.0%	19.2%	(6.5%)
Diluted EPS	7.5%	12.2%	6.7%	12.7%	10.2%	15.5%	19.2%	10.4%	18.5%	(6.9%)
Estimated Currency Impact	(1.1%)	1.2%	0.7%	-	-	1.8%	3.0%	-	-	-
Implied CC Growth	2.5%	6.4%	5.9%	5.0%	6.8%	10.3%	6.5%	5.8%	5.6%	6.0%

Source: Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	14 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
IBM (IBM)	M	USD	217.07	280.00	(43.6)%	USD	11.58	12.35	13.93	18.8	17.6	15.6
SPX			7,543.59									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**International Business Machines Corp**

We value IBM at 20x 2027E EPS of \$13.93, which gives our target price of \$280/share.

RISKS**International Business Machines Corp**

Two of the biggest risks on IBM and to our price target could be risks to both the upside and downside: 1) The quantum pureplays have historically been very newsflow driven - as quantum becomes a bigger part of IBM's story, there is risk that IBM could similarly become more newsflow driven, and 2) IBM's small-model approach to AI is a key uncertainty, and could drive either upside or downside as IBM navigates the AI wave. A further downside risk is that 3) Weak consulting bookings presage broader weakness in the consulting business.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Bernstein brand stock ratings are based on a 12-month time horizon.

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The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

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- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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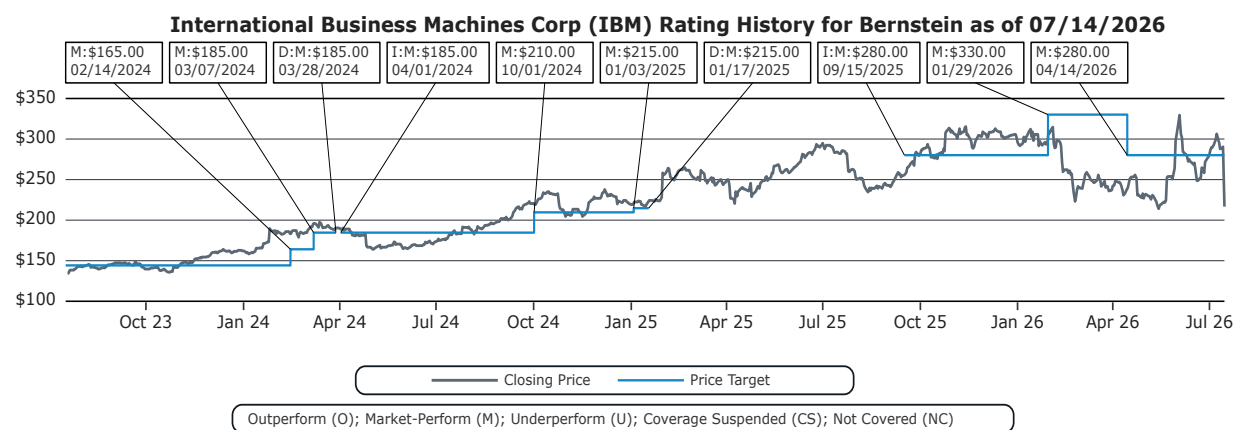
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

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All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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